

“India needs to free up the markets for more money to come in”

Legendary investor and fund manager **Mark Mobius** on India, emerging markets, and women on boards

48 |

M

Mark Mobius is an investor who has a huge following in many countries across the globe. Not surprising, since he has travelled to more than 110 countries and invested in over 5,000 companies with a cumulative asset size being in excess of \$40 billion. The 87-year-old, who in November announced that he would be stepping back from his role as Founding Partner at Mobius Capital Partners in the coming months, is considered an authority on emerging markets where he has been investing for well over 30 years. He is quite bullish on India—a country he recently visited for a month—and believes that the benchmark BSE Sensex could touch 100,000 in the next five years, though the journey could be bumpy. In an interaction with *Business*

Today's *Ashish Rukhaiyar*, Mobius talks about his investment strategy, the Indian markets, and ESG compliance, among other things. Edited excerpts:

Q: Indian companies account for the second-largest share in your portfolio. How has that share changed, say, over the past 10 years?

A: India was much smaller and China was dominant. That has completely reversed. It is a big change. And that change has not been only for us but for most of the emerging market investors globally. Many of them got burnt badly in China. In fact, now many do not have any use of the MSCI Emerging Markets index because they are looking at MSCI Emerging Markets less China.

Q: Many have been talking about the China+1 strategy over the last couple of years. Do you think that India has been able to capitalise on that strategy?

A: First of all, if you look at the performance of India, it has been much better than everybody else. In fact, it has been higher than the S&P 500. Secondly, India has not opened up the markets to a degree that would allow for more money to come in. For instance, [it has] foreign exchange controls, etc. If that happens [India opening up its markets further], you will have a flood of money coming in. There's no question about that. That is the reason why the full potential has not been realised. By the way, this does [not] impact portfolio